

Executive Summary

The Problem: Battery Anxiety on Campus For today's college student, a smartphone is not a luxury; it is a critical lifeline used for digital payments, campus IDs, event tickets, and emergency communication. As students spend hours studying in the Gerber Center or the Augustana Library, "battery anxiety" is a daily frustration. Currently, when a student's battery dies, they face two flawed choices: carry a bulky, expensive personal power bank (which they frequently forget to charge), or abandon their study spot to sit tethered to a public wall outlet.

Our Solution: ChargeNet ChargeNet is a seamless, automated power bank rental network designed to keep the Augustana College community connected on the go. We provide compact, 8-slot IoT smart kiosks that dispense high-capacity portable chargers. Every battery features built-in Apple Lightning, USB-C, and Micro-USB cables, ensuring universal compatibility. Users simply locate a kiosk via the ChargeNet mobile app, scan a QR code using Apple Pay or Google Pay, and instantly unlock a battery. Our "rent-here, return-anywhere" model allows a student to rent a battery at the Library, walk to class, and return it to the Pepsico Center hours later. We are monetizing mobility and convenience.

Target Market & Competitive Advantage Our Phase 1 pilot program exclusively targets the 2,500 students at Augustana College. While national vending competitors like ChargeItSpot operate in massive airports and Tier-1 cities, they are entirely ignoring the lucrative regional college market, giving ChargeNet a geographic monopoly. Furthermore, ChargeNet operates on a hyper-efficient "white-label" business model. By licensing our hardware and backend app infrastructure directly from an established global manufacturer, we have entirely bypassed the \$50,000+ cost of custom app development, eliminating the execution risk normally associated with tech startups.

Financial Highlights & Business Model ChargeNet utilizes a Value-Based pricing model designed for impulse accessibility: a \$1.00 unlock fee and \$2.00 per hour of charging (capped at \$6.00/day). Because our core product—charging time—costs practically nothing to produce, our unit economics are highly lucrative, boasting a gross profit margin of over 75%. We project Year 1 gross sales of \$11,285 and a Net Profit of approximately \$6,000. Because our fixed overhead is limited to a small software and insurance fee, our break-even point is exceptionally low: we require just 0.7 rentals per machine, per day to be profitable.

The Ask: Startup Capitalization ChargeNet is seeking \$4,500 in grant funding by winning the Augustana Business Plan Competition. Because our model is incredibly lean, this prize money will fund 100% of our Phase 1 launch. It will be used to purchase three (3) fully stocked smart kiosks (\$2,535), fund our point-of-sale launch marketing (\$450), cover initial legal and insurance premiums (\$350), and provide a 25% contingency cash reserve (\$1,165).

By fully funding ChargeNet, the judging panel is not just investing in a student idea; they are launching a fully realized, debt-free, and highly scalable micro-mobility network that will immediately improve the daily lives of the Augustana student body.

II. Instructions: Company Description

Company Mission Statement Our mission is simple: to keep you connected to what matters most by providing easy, affordable, and on-the-go power exactly when and where you need it.

Company Philosophy and Vision We believe a dying phone battery shouldn't cause panic, ruin your day, or tie you to a wall outlet. In today's world, our phones are our lifelines—they act as our student IDs, our wallets, our event tickets, and our connection to friends. Our vision is to create a campus—and eventually a city—where no one has to worry about a dead battery ever again. We want ChargeNet to be the friendly, reliable network you trust to keep you powered up and moving forward.

Who We Are Think about the last time your phone died right when you needed it. It's a stressful, universal problem. ChargeNet was born to solve this exact frustration. Taking inspiration from highly successful international startups like Nepal's *Chhito Charger*, we are bringing seamless, "rent-and-return" convenience to Augustana College and the Quad Cities.

Instead of buying expensive personal power banks (that you usually forget to charge anyway), ChargeNet offers a network of automated kiosks. You simply scan a QR code with your phone, pop out a fully charged power bank with built-in cables, charge your device while you walk to class or study in the library, and return the battery to any of our kiosks when you are done.

Company Goals

- **Short-Term Goal:** Secure the \$4,500 first-place award from the Augustana Business Plan Competition to fully fund our 3-kiosk campus pilot program, completely debt-free.
- **Milestone 1:** Prove that the model works by achieving 300+ active student users and a 95% successful battery return rate during the first six months.
- **Long-Term Goal:** Reinvest our Year 1 profits to expand the network to 15 off-campus locations in the Quad Cities (such as local coffee shops, restaurants, and transit hubs) by Year 2.

Target Market Our service is built for people on the move. Our primary users are:

- **Students** pulling long study sessions in the library or Gerber Center who do not want to lose their seat just to find a wall plug.
- **Daily Commuters** who are away from their home chargers for 8 to 10 hours a day.
- **Event-Goers** draining their batteries taking photos at Augustana football games, concerts, and theater performances.

The Industry ChargeNet operates in the rapidly growing "shared economy." Just like people now rent electric scooters instead of buying them, consumers are shifting away from buying heavy personal chargers that eventually turn into electronic waste. Instead, they want the convenience of renting a charge on-demand. The global shared power bank market is currently booming, proving that consumers are actively looking for alternatives to carrying their own charging gear.

Legal Structure ChargeNet will initially operate as a Sole Proprietorship during the Augustana campus pilot phase. Before our regional off-campus expansion in Year 2, the business will transition into a Limited Liability Company (LLC). This will protect personal assets and make it easier to sign official revenue-sharing contracts with local business venues.

Products & Services

Our Products and Services ChargeNet operates a seamless, automated power bank rental network designed to keep students and professionals connected on the go. Our physical product consists of compact, 8-slot smart charging kiosks and high-capacity (10,000 mAh) portable lithium-polymer power banks. To ensure universal compatibility and maximum convenience, every power bank features three built-in charging cables (Apple Lightning, USB-C, and Micro-USB), meaning users never need to supply their own cords.

The digital component of our service is the ChargeNet mobile app (available on iOS and Android). Users simply locate the nearest kiosk via the app's live map, scan the QR code on the machine, and a fully charged power bank is instantly unlocked. To keep our startup costs exceptionally lean while delivering a world-class user experience, ChargeNet utilizes a "white-label" partnership. We source our hardware and license our backend app infrastructure directly from an established global manufacturer (such as JB Charging). This allows us to bypass tens of thousands of dollars in custom software development and provide a polished, reliable product from day one.

The Problem and Our Solution For today's college students and young professionals, a smartphone is not just a phone; it is a critical lifeline used for digital payments, mobile campus IDs, event tickets, and navigation. Because of this absolute reliance, "battery anxiety" is a highly documented, daily frustration. Currently, consumers face two flawed solutions when their battery dies in public: they can either carry a bulky personal power bank (which they frequently forget to charge at home), or they must abandon their activities to sit tethered to a public wall outlet.

ChargeNet solves this problem by offering an untethered, "rent-here, return-anywhere" power solution. We allow a student in the Augustana Library to rent a battery, keep their prime study spot, and eventually return the device to the Gerber Center hours later. We are monetizing mobility and anxiety relief.

Competitive Advantage and Proprietary Features While ChargeNet does not hold custom patents, our competitive edge lies in our operational agility and our strategic campus placements. Our direct competitors are personal power banks and free wall outlets. Against personal power banks, ChargeNet wins on spontaneous convenience—we are available precisely when the user has forgotten their own charger. Against wall outlets, we win on mobility. Furthermore, by utilizing a turnkey white-label software provider, we possess a massive competitive advantage in our capital efficiency. Our technology is pre-tested and highly secure, allowing us to focus 100% of our efforts on local marketing and B2B venue partnerships rather than app debugging.

Pricing Strategy and Profitability ChargeNet utilizes a value-based pricing structure designed to be affordable for the consumer while generating high margins for the business. Our "Pay-As-You-Go" tier charges a \$1.00 unlock fee and \$2.00 per hour of charging, capped at \$6.00 per 24 hours. If a battery is kept longer than 48 hours, a \$35.00 "Buy-Out" fee is automatically charged to the user's saved payment method.

In the competitive landscape, our pricing sits in the perfect mid-range: it is vastly cheaper than purchasing a \$40 personal battery at a convenience store, and while it costs more than a free wall outlet, our target demographic is highly willing to pay \$3.00 to avoid sitting on the floor next to a plug. Because our hardware costs are low and our operations are highly automated, this pricing strategy yields a projected gross profit margin of over 60%, allowing the initial \$4,500 investment to break even in less than a year.

IV. Marketing Plan

1. Market Research To validate the ChargeNet concept, we utilized both primary and secondary market research.

- **Primary Research:** We conducted informal surveys and behavioral observations at key Augustana College "dead zones" (such as the Gerber Center and Library). We observed that during peak study hours, students frequently cluster around limited wall outlets or leave the area entirely when their devices die, validating a high localized demand for untethered power.
- **Secondary Research:** Secondary data proves this is a lucrative, global trend. The global shared power bank market is currently valued at over \$21.9 billion and is projected to grow at a 17.7% Compound Annual Growth Rate (CAGR).
- **Target Market Size & Trends:** Augustana College has an enrollment of approximately 2,500 students. Our Serviceable Obtainable Market (SOM) goal is to capture 15% of the student body (approx. 375 active users) in Year 1. The defining trend in this target market is a shift from *ownership* (buying \$40 personal batteries that create e-waste) to the *access economy* (renting a battery on-demand for \$2.00). Gen Z consumers highly favor subscription and rental models for convenience items.

2. Barriers to Entry While the shared power bank industry is highly profitable at scale, it presents several barriers to entry for a new startup, which we have strategic plans to overcome:

- **High Startup Costs (CapEx):** Purchasing automated IoT kiosks and lithium-polymer batteries requires upfront capital. *How we overcome it:* Winning the \$4,500 Augustana Business Plan Competition will allow us to bypass this barrier entirely, funding our 3-kiosk pilot program with zero debt.
- **Technology & App Development:** Building a secure payment gateway and custom app from scratch costs upwards of \$50,000. *How we overcome it:* We are licensing a pre-built, "white-label" app from an established hardware manufacturer, allowing us to deploy world-class tech for a fraction of the cost.
- **Brand Recognition:** Students do not yet know what ChargeNet is. *How we overcome it:* We will use highly localized, grassroots marketing, including high-visibility floor decals leading to the kiosks and "First Charge Free" promo codes.

3. Threats and Opportunities

- **Changes in Technology (Threat & Opportunity):** A breakthrough in native smartphone battery technology (e.g., solid-state batteries lasting multiple days) could reduce the need for midday charging. However, as phones become more powerful, users continuously adopt high-drain applications (like AR and AI), which historically offsets battery improvements.
- **Changes in the Economy (Opportunity):** In a tighter economy, consumers are less likely to spend \$40-\$50 on a premium personal power bank, making a \$2.00 micro-rental highly attractive.

- **Changes in the Industry (Opportunity):** The industry is expanding into B2B venue partnerships. Local bars, coffee shops, and event centers actively want to host these kiosks to keep customers in their venues longer and stop them from handing phones to bartenders to charge. This presents a massive opportunity for our Year 2 off-campus expansion

Synthesis Questions

Can any of your strengths help with improving your weaknesses or combating your threats? If so, please describe how below. Yes. Our zero-payroll, highly automated operations (Strength) result in very low monthly overhead. This lean financial structure allows us to combat our lack of brand awareness (Weakness) by aggressively giving away "First Charge Free" promo codes during our launch month without burning through essential operating cash. Additionally, our highly profitable unit economics (Strength) allow us to build a robust "Replacement Fund" to combat hardware wear-and-tear or theft (Threat).

Based on the information above, what are your immediate goals/next steps? Our immediate goal is to finalize our pitch for the Augustana Business Plan Competition to secure the \$4,500 in startup capital. Simultaneously, we will draft a "Host Agreement" to propose to the Augustana administration, outlining the revenue-share and liability terms for placing the first three kiosks in the Gerber Center, Library, and Pepsico Center.

Based on the information above, what are your long-term goals/next steps? The long-term goal is to use the data and proven success of the 6-month Augustana pilot program to expand into the broader Quad Cities market. We will reinvest our Year 1 retained earnings to purchase 10 to 15 additional kiosks and approach local businesses (e.g., Whitey's Ice Cream, local coffee shops, and regional transit hubs) to establish a dominant regional micro-mobility charging network.

1. Product/Service Features and Benefits

The Customer's Point of View: From the customer's perspective, ChargeNet is a "lifesaver in a box." When their phone is dying, they do not want to hunt for a wall outlet or deal with tangled cords. They want an immediate, frictionless solution.

- **Feature: Automated QR-Code Unlocking.** * *Benefit:* Frictionless access. Customers do not need to wait in line, speak to a cashier, or swipe a physical credit card. They scan the kiosk with their phone and the battery pops out instantly.
- **Feature: Built-In Universal Charging Cables.** Every battery has Apple Lightning, USB-C, and Micro-USB cords physically built into the unit.

- *Benefit:* Supreme convenience. The customer doesn't have to worry about carrying their own cords or having the "wrong" type of charger for their specific device.
- **Feature: "Rent-Here, Return-Anywhere" Network.**
 - *Benefit:* True mobility. A customer can rent a battery at the Augustana Library, walk across campus to class, and return it to the Gerber Center later. They never have to pause their day.

After-Sale Services: To build trust and ensure a premium user experience, ChargeNet offers the following support and after-sale services:

- **Product Delivery:** 24/7 self-serve automated delivery via our smart kiosks.
- **Ongoing Support:** The ChargeNet app features 24/7 integrated technical support and a "Help/FAQ" section to assist users with any account or payment issues.
- **Refund Policy:** If a user rents a battery that is defective or not properly charged, they can return it to the kiosk within the first 5 minutes for an automatic, no-questions-asked refund triggered by the app.
- **Warranty:** We carry General Liability Insurance, acting as a guarantee to our host venues and users in the highly unlikely event of a battery malfunction.

2. Target Customer

ChargeNet operates a B2B2C model, meaning we have two distinct target customer groups: the End-Users (Consumers/Students) who rent the batteries, and the Host Venues (Businesses) that allow us to place our kiosks.

Consumer Profile (The End-User):

- **Age:** 18 – 24 (Gen Z).
- **Gender:** All.
- **Location:** Augustana College campus (Phase 1) and the Quad Cities regional area (Phase 2).
- **Income:** Low-to-moderate disposable income, making a \$2.00 micro-transaction highly accessible compared to buying a \$40 personal battery.
- **Occupation:** Full-time college students and daily commuters.
- **Education Level:** Undergraduate students.
- **Psychographics:** Highly social, extremely tech-reliant, values convenience over ownership, and heavily utilizes digital wallets (Apple Pay).

Business Profile (The B2B Host Venue):

- **Industry:** Higher Education (Augustana College Administration) and Hospitality (local coffee shops, bars, and restaurants in the Quad Cities).
- **Location:** High-foot-traffic areas in Rock Island and Moline.
- **Size:** Small-to-mid-sized venues with high "dwell times" (where customers sit for 45+ minutes).
- **Stage in Business:** Mature (venues that already have established, steady foot traffic).
- **Annual Sales:** Variable. These venues are motivated to partner with us to increase customer "dwell time" (a customer with a charged phone stays longer and buys more food/drinks) and earn a 10% passive revenue share.

3. Key Competitors

While there is currently no direct power bank vending network on the Augustana College campus, we face competition from indirect alternatives and broader market players.

- **Direct Competitors (National):** Companies like *ChargeItSpot* or *MobileQubes* operate similar vending models. However, they focus almost exclusively on massive Tier-1 city markets (airports and giant shopping malls). They are currently ignoring the lucrative, localized mid-market of regional colleges like Augustana, giving us a geographic monopoly.
- **Indirect Competitor 1: Personal Power Banks (Anker, Belkin).** Customers can purchase their own portable batteries. *Our Advantage:* We compete on spontaneous convenience. Personal power banks are expensive upfront (\$30-\$50), heavy, and users frequently forget to charge them at home.
- **Indirect Competitor 2: Free Public Wall Outlets.** *Our Advantage:* We compete on mobility. Wall outlets are free, but they force the user to sit on the floor, abandon their study desk, or stay tethered to a wall. Our target customer is highly willing to pay \$2.00 to keep moving.

Our Competitive Advantages: Based on the worksheet, ChargeNet's greatest strengths align perfectly with the factors that are *most important* to our target customer (Ranked 1 or 2):

Location, Price, Reliability, and Sales Method.

Our absolute biggest advantage is **Location and Mobility**. Wall outlets (Competitor B) force a student to sit on the floor or abandon a prime study spot. Personal power banks (Competitor A) are completely useless if the customer forgot to charge the device at home or left it in their dorm room. ChargeNet provides reliable power exactly where the customer is experiencing the problem. Additionally, our **Sales Method** (frictionless Apple Pay/QR code scanning) is a massive strength over traditional retail purchases for Gen-Z consumers. Finally, because National Brands (Competitor C) are ignoring the localized mid-market of regional colleges, we have a geographic monopoly on campus.

Our Competitive Disadvantages: Our primary weaknesses fall into categories of **Stability, Reputation, and Advertising budget**. Because ChargeNet is a new startup, we do not have the global brand trust or the massive advertising budgets of companies like Anker or ChargeItSpot. We also lack **Selection**; we only offer one type of battery, whereas retail stores offer hundreds of colors and sizes.

How We Overcome Disadvantages: Fortunately, the factors where we are weakest (Stability, Company Reputation, and Selection) rank as the *least important* to a customer experiencing a dying phone battery (Ranked 4 or 5). When a student's phone drops to 2%, they do not care how many years the company has been in business or what color the battery is; they only care about immediate accessibility and price, which are our distinct competitive advantages. We will overcome our lack of advertising budget by utilizing cheap, high-visibility grassroots marketing (floor decals on campus) right at the point of sale.

1. Positioning/Niche

ChargeNet occupies a highly specific niche: localized, short-term micro-mobility power for regional college campuses and mid-sized markets—a highly lucrative segment that massive national vending chains are currently ignoring. We position ourselves not just as a "vending machine," but as an essential, modern campus utility. We present our company to customers as the ultimate provider of frictionless "anxiety relief," offering a sleek, immediate, and affordable lifeline when they need it most, without tying them down to a wall.

2. How You Will Market Your Product/Service

Advertising Tactics: Because our target audience is confined to a specific geographic location (the Augustana College campus), traditional broad advertising (like radio or TV) would be a waste of capital. Instead, we will rely heavily on **Out-of-Home (OOH) advertising** right at the point of sale.

- We will place durable, highly visible floor decals in the Gerber Center, Library, and Pepsico Center with arrows and catchy slogans (e.g., "*Phone dying? Follow me.*"). This captures the customer at the exact moment their battery is low.

Marketing Tactics:

- **Print Marketing (Direct Handouts):** During high-stress periods like Midterms and Finals week, we will hand out business-card-sized flyers with a QR code that grants the user their "First Charge Free." This eliminates the barrier to downloading the app.
- **Social Media & Mobile Marketing:** We will run hyper-targeted Instagram and TikTok ads strictly geo-fenced to a 1-mile radius around the Augustana campus.

- **Word-of-Mouth & Referrals:** The product is inherently social. When a student brings a rented ChargeNet battery to a study group or a dining table, it sparks curiosity. We will incentivize this via an in-app referral program: *"Refer a friend to the app, both of you get 2 hours of free charging."*
- **B2B Networking (Phase 2):** For off-campus expansion, we will utilize direct networking through the Quad Cities Chamber of Commerce to pitch the kiosks to local coffee shops and bars as a free amenity that keeps their customers in-store longer.

Brand Image and Design Elements: We want to project a brand image that is modern, reliable, seamless, and tech-forward.

- **Design Elements:** Our physical kiosks will feature vibrant, custom-branded vinyl wraps (utilizing neon blues or greens) so they act as their own billboards in a crowded room. Our logo will be minimalist—a clean lightning bolt or battery silhouette—that looks native to the Gen-Z digital ecosystem. The physical design of the hardware is intentionally sleek, looking more like an Apple product than a traditional clunky vending machine.

3. Promotional Budget

Before Startup (The Launch Phase): Out of the \$4,500 Augustana Business Plan Competition award, we have allocated **\$450** specifically for pre-launch marketing capital.

- Custom Vinyl Kiosk Wraps (3 machines): \$200
- High-Visibility Floor Decals: \$150
- Print Flyers/Promo Handouts: \$100

On an Ongoing Basis (Operating Plan): Because the physical machines act as their own advertisements, our ongoing marketing costs are exceptionally low. We have budgeted **\$60 per month** for ongoing marketing.

- Targeted geo-fenced social media boosts: \$40/month
- Replacement of worn floor decals / seasonal printed promo codes: \$20/month.

1. Pricing

How We Set Prices and Positioning Alignment ChargeNet utilizes a **Value-Based Pricing** strategy. Our pricing perfectly reflects our positioning as a premium, immediate convenience. We are monetizing "anxiety relief" and mobility. When a student's phone is at 2%, they are not paying for the electricity itself; they are paying to avoid the disruption of packing up their belongings, losing their study spot, or leaving an event early just to find a wall outlet.

Our pricing structure is designed to be highly accessible as an impulse purchase while maintaining exceptional profit margins for the business:

- **Unlock Fee:** \$1.00
- **Hourly Rate:** \$2.00 / hour
- **Daily Maximum:** \$6.00 / 24 hours
- **Buy-Out / Lost Battery Fee:** \$35.00 (Automatically triggered after 48 hours of non-return).

Price Comparison with Competitors Our pricing sits in the perfect "Goldilocks" mid-range compared to our indirect competitors:

- **Compared to Wall Outlets (Free):** We are more expensive, but we provide absolute mobility.
- **Compared to Personal Power Banks (\$30–\$50):** We are vastly cheaper. Buying a personal battery requires a high upfront cost and the foresight to keep it charged. ChargeNet requires zero foresight and costs less than a cup of coffee.
- **Compared to National Vending Brands:** Our prices are identical to the industry standard used by companies like ChargeItSpot, ensuring we remain competitive as the industry scales.

The Importance of Price to Our Customers Because our transaction sizes are micro-purchases (\$3.00 average ticket size), price is actually a secondary factor to our target customer. The deciding factor for a Gen-Z student facing a dead phone is **immediate accessibility**. As long as the price stays under the cost of a typical fast-food meal, it remains a frictionless impulse buy.

Customer Service and Credit Policies

- **Credit Policies:** ChargeNet operates entirely via cashless, automated micro-transactions. We do not extend traditional credit. Instead, when a user scans the QR code, the app utilizes Stripe (via Apple Pay or Google Pay) to place a temporary \$6.00 pre-authorization hold on their card to ensure funds are available.
- **Customer Service & Refunds:** To build profound trust with the student body, we offer an automated, "No-Questions-Asked" 5-minute refund policy. If a user dispenses a battery and realizes it is defective or their phone port is broken, they can return the battery to the kiosk within 5 minutes, and the app will automatically cancel the charge and release the hold.

1. Location or Proposed Location

Unlike a traditional brick-and-mortar retail business, ChargeNet does not require commercial real estate, parking lots, or an expensive building lease. Our business model is decentralized and operates via a micro-footprint (each kiosk requires less than 2 square feet of floor or counter space and a standard 110V outlet).

Phase 1 Proposed Locations (Augustana College Pilot): We propose placing our first three kiosks in specific high-traffic, high-dwell-time locations on the Augustana College campus. We define these areas as "Dead Zones"—places where students spend hours at a time but where wall outlets are either scarce or inconveniently located.

- **The Gerber Center:** The social and dining hub of campus. Students gather here to eat, socialize, and study between classes. It is the perfect central hub for our primary kiosk.
- **The Thomas Tredway Library:** The ultimate high-dwell-time location. Students often refuse to give up a quiet study desk or computer station just to go find a wall outlet to charge their phones. A kiosk here captures a highly captive audience.
- **The Pepsico Recreation Center (or Roy J. Carver Pavilion):** High-traffic areas during intramural sports or athletic events where attendees are rapidly draining their batteries taking photos and videos.

Why This Strategy Works: By placing the kiosks directly in the paths of students' daily routines, the location *becomes* the convenience. We bring the product directly to the consumer at their exact moment of need, eliminating the need for them to travel to a store.

2. Distribution Channels

ChargeNet relies on an innovative, hybrid distribution model that combines physical automated retail with mobile e-commerce.

- **Automated Retail (Direct Sales):** Our primary distribution channel is the physical smart kiosk itself. Serving as a completely automated point-of-sale and distribution center, the kiosk physically delivers the product to the consumer 24/7 without the need for a human cashier.
- **Mobile E-Commerce:** While the product is physical, the actual transaction and distribution gateway is entirely digital. Users "checkout" via the ChargeNet mobile app using Apple Pay or Google Pay, which then sends an IoT (Internet of Things) signal to the kiosk to dispense the battery.
- **Key Strategic Partnerships (Host Venues):** Our distribution model relies heavily on B2B strategic partnerships with our "Host Venues." For Phase 1, securing a cooperative partnership with the **Augustana College Administration** to allow the placement of our kiosks is critical to our success. In exchange for the floor space and electricity, we offer the venue a 10% revenue share and a free, modern amenity that improves the student/customer experience.

1. 12-Month Sales Forecast

Because ChargeNet is a pre-revenue startup launching its Phase 1 pilot on the Augustana College campus, our sales forecasts are built on the following localized demographic and behavioral assumptions:

1. **Target Market Size:** Augustana College has an enrollment of approximately 2,500 students. Our Year 1 goal is a 15% adoption rate (roughly 375 active users).
2. **Average Ticket Size:** Based on our Value-Based Pricing model (\$1 unlock + \$2/hour), we estimate the average rental duration will be 1 hour, resulting in a **\$3.00 average ticket size**.
3. **The "Buy-Out" Rate:** Industry data from micro-mobility and vending startups suggests an approximate 2% to 3% "loss/buy-out" rate. We project that a small fraction of users will fail to return the battery within 48 hours, triggering the **\$35.00 Buy-Out fee**.
4. **Seasonality:** Because our pilot is restricted to a college campus, we project significant seasonality. Sales will peak during midterms (March/October) and finals (May/December) when library dwell times are highest. Sales will experience a sharp drop during the summer months (June and July) when the majority of the student body leaves campus.

Scenario 1: The "Best Guess" (Expected) Forecast Our expected forecast models a steady growth trajectory following our January launch. We project reaching our baseline goal of 3 rentals per machine, per day (9 total rentals a day across the 3-kiosk network) by Month 2, and peaking at roughly 12 to 14 rentals a day during finals week. In this scenario, Year 1 gross revenue will be approximately **\$11,000**, easily covering the initial \$4,500 startup cost and funding our Year 2 off-campus expansion.

Scenario 2: The "Worst Case" Forecast Our worst-case scenario models a highly sluggish adoption rate, assuming students are extremely hesitant to download a new app. In this model, we project an average of just 1 rental per machine, per day (3 total rentals a day). Even in this heavily depressed scenario, Year 1 gross revenue would reach approximately **\$4,000**, allowing the business to nearly break even on the initial competition prize money without incurring any personal debt.

V. Operational Plan

1. Production ChargeNet does not "manufacture" a product from scratch; rather, we deliver a service via automated hardware. Our service is delivered 24/7 through compact, 8-slot IoT (Internet of Things) smart kiosks.

- **Equipment:** The primary equipment consists of the physical kiosks and the 10,000 mAh lithium-polymer power banks with built-in cables.
- **Cost of Production:** Because we utilize a white-label partner, our "production" costs are strictly our upfront CapEx (Capital Expenditure) to purchase the hardware. Each 8-slot kiosk costs approximately \$650, and each battery costs \$15. Our ongoing cost to deliver the service is practically zero, limited only to a small monthly SaaS (Software as a Service) hosting fee and standard Stripe credit card processing fees (2.9% + 30¢ per transaction).

2. Quality Control Maintaining a consistent, premium user experience is critical to user retention. We ensure quality control through two methods:

- **Automated Software Monitoring:** Our backend dashboard constantly pings each kiosk to ensure it is connected to Wi-Fi. It also tracks the health and degradation of individual batteries, automatically locking a battery inside the kiosk if it detects a charging fault.
- **Physical Inspections:** The owner will conduct a physical inspection of all campus machines twice a week to clean the screens, check for vandalism, and inspect the built-in charging cords for fraying or damage. Damaged batteries are immediately pulled from circulation and safely recycled.

3. Location ChargeNet operates on a highly decentralized, "micro-footprint" model. We do not require a traditional retail storefront, warehouse, or commercial lease.

- **Size & Building Type:** Each kiosk requires less than 2 square feet of floor or counter space. They will be placed inside existing commercial and educational buildings (e.g., the Gerber Center and Library).
- **Accessibility:** The kiosks will be strategically placed in ADA-accessible, high-traffic corridors with maximum visibility.
- **Costs (Rent and Utilities):** We pay **\$0 in traditional rent**. Instead, we operate on a "Host Agreement" model. We place the machine in the venue for free, the venue provides the minimal 110V electricity required to run it, and in exchange, the venue (Augustana College) receives a 10% share of the gross revenue generated by those specific machines.

4. Legal Environment ChargeNet will operate initially as a Sole Proprietorship, transitioning to an LLC in Phase 2.

- **Licenses/Permits:** We will obtain a standard local business operating license from the City of Rock Island.
- **Intellectual Property:** Because we are licensing a white-label app, we do not require custom patents or copyrights.
- **Insurance:** This is a crucial operational requirement. We will carry a standard General Liability Insurance policy (estimated at \$50-\$75/month). This protects the business and

the host venues in the highly unlikely event of a battery malfunction or a kiosk tip-over. We mitigate environmental/health risks by explicitly sourcing only UL-Certified batteries.

5. Personnel ChargeNet is designed to be exceptionally lean.

- **Current Needs:** For the Phase 1 pilot on the Augustana campus, the business will be **100% owner-operated** with zero employees. The owner handles all machine maintenance, marketing, and the twice-weekly "rebalancing runs" (physically moving batteries from a kiosk that is entirely full to a kiosk that is empty).
- **Future Needs (Phase 2):** As we expand off-campus to 15+ locations, we will hire **Independent Contractors (1099 Freelancers)**. These will likely be fellow Augustana students who have their own vehicles.
- **Pay Structure & Duties:** Freelancers will be paid a flat hourly rate (approx. \$15/hour) for 3-5 hours a week to run the "rebalancing route." Training takes less than 30 minutes, as it only requires unlocking the kiosks and moving inventory using a secure admin QR code.

6. Inventory In the shared power bank industry, our "inventory" consists solely of the batteries themselves.

- **Type of Inventory:** Finished products (10,000 mAh power banks).
- **Inventory Value & Turnover:** Our active inventory lives inside the kiosks. However, we will keep a small reserve inventory of roughly 15 spare batteries (Value: ~\$225) securely stored in the owner's dorm or apartment.
- **Turnover & Seasonality:** We only need to replace inventory when a battery naturally degrades, breaks, or a customer triggers the \$35 "Buy-Out" fee by not returning it. We expect to tap into our reserve inventory mostly during midterms and finals, when higher rental volumes lead to a higher probability of lost batteries.
- **Lead Time:** Ordering replacement hardware from our overseas supplier takes approximately 2 to 3 weeks via standard freight.

7. Suppliers Our entire operational model relies on our white-label hardware and software provider (such as JB Charging or an equivalent Shenzhen-based OEM manufacturer).

- **Items Furnished:** They supply the physical kiosks, the batteries, and the backend SaaS app infrastructure.
- **Payment Terms & Reliability:** Hardware is paid 100% upfront via wire transfer or credit card. White-label manufacturers in this space are highly reliable, as they produce tens of thousands of these units globally.
- **Shortages & Backup Plans:** The primary supply chain risk is international shipping delays. To handle this, we will always maintain a 15-battery safety stock. If our primary

supplier goes out of business, the underlying technology is standardized enough that we can easily source replacement batteries from alternative global vendors on Alibaba.

8. Credit Policies Because ChargeNet operates via micro-transactions, **we do not extend traditional credit** to customers, nor do we invoice them.

- **Payment Processing:** We utilize the Stripe API payment gateway.
- **Credit Strategy:** When a user scans a kiosk, the app places a temporary **\$6.00 pre-authorization hold** on their Apple Pay, Google Pay, or debit card. This instantly verifies their creditworthiness and ensures the funds are available before the battery ever leaves the machine.
- **Handling Bad Debt:** Because of the pre-authorization hold, our bad debt and collection needs are practically zero. If a customer fails to return the battery, the app automatically captures the remaining \$35 "Buy-Out" fee from the saved card on file. If the card declines the \$35, the user's account is permanently banned from the ChargeNet network until the balance is paid.

VI. Management & Organization

1. Biographies Sushmita Adhikari, Founder & CEO: Sushmita Adhikari is a current student at Augustana College with a deep understanding of Gen-Z consumer behavior, campus logistics, and the emerging micro-mobility tech sector. Having personally experienced the friction of "battery anxiety" while navigating heavy coursework and campus events, Sushmita recognized the gap in the regional market for automated charging solutions. She brings strong project management and networking skills to ChargeNet, driving the strategic vision, vendor negotiations, and local B2B partnerships. A full resume detailing previous leadership and professional experience is included in the Appendix.

White-Label Partner (Operations Backend): While not an in-house employee, our exclusive white-label manufacturing partner serves as our de facto Chief Technology Officer (CTO). With years of global experience in IoT hardware and payment gateway security, they handle 100% of the app development, server maintenance, and PCI-compliant credit card processing, allowing the Founder to focus entirely on local growth.

2. Gaps in Management/Experience Because ChargeNet is a student-founded startup operating on a highly lean model, our primary management gap is in specialized legal and certified tax accounting experience. Drafting revenue-share "Host Agreements" for off-campus venues in Year 2 requires professional legal oversight, and managing hardware depreciation for tax purposes requires a CPA. We plan to fill these gaps not by hiring expensive full-time executives, but by retaining a local Quad Cities business attorney and a fractional accountant on an as-needed, contract basis.

3. Advisors To ensure the strategic and legal success of the business, ChargeNet has assembled a robust advisory support team:

- **Mentors & Advisory Board: The Augustana EDGE Center.** We will actively leverage the resources, mentorship, and faculty expertise of the EDGE Center for Entrepreneurship. Their deep ties to the Quad Cities business community will be instrumental during our Phase 2 off-campus expansion.
- **Accountant:** A local Quad Cities CPA Firm, to be retained for annual tax preparation and hardware depreciation schedules.
- **Attorney:** A local commercial attorney, to be retained prior to Phase 2 to officially register the LLC and draft airtight B2B Host Agreements.
- **Insurance Agent:** A commercial broker via a local agency to maintain our General Liability policies.

4. Organization Chart During Phase 1 (the campus pilot), the organizational structure is entirely flat to preserve capital:

- **CEO / Owner-Operator:** Sushmita Adhikari (Handles all daily operations, kiosk maintenance, and marketing).
- **Strategic Partner:** White-Label SaaS Provider (Handles all digital infrastructure).

Future Organizational Chart (Phase 2 - Off-Campus Expansion):

- **CEO / Founder:** Sushmita Adhikari (Transitions strictly to B2B Sales, Venue Networking, and Financials).
 - **Independent Contractors (1099):** 2-3 part-time Augustana students hired to drive the weekly "rebalancing routes" and perform physical kiosk maintenance across the Quad Cities.

II. Startup Expenses & Capitalization

1. Start-Up Expenses and Capitalization Strategy ChargeNet operates on an exceptionally lean, high-margin financial model. The primary objective of our current capitalization strategy is to launch the Phase 1 Augustana pilot program entirely debt-free.

Capital Sources: We are seeking exactly **\$4,500** in startup capital, which we aim to secure by winning first place in the Augustana Business Plan Competition. By funding the startup strictly through this grant, ChargeNet will not require any high-interest bank loans, nor will it require the Founder to surrender any equity to outside investors. Sushmita Adhikari will retain 100% ownership of the company.

Startup Expense Assumptions: The \$4,500 in requested capital has been meticulously budgeted to cover all necessary hardware, software licensing, and launch marketing. Our core startup expenses are based on direct quotes from our white-label manufacturing partners and local Rock Island vendors.

- **CapEx (Hardware):** \$1,950 for three (3) 8-slot IoT smart kiosks (priced at \$650 each).
- **Active Inventory:** \$360 for 24 high-capacity portable batteries to fully stock the machines on Day 1 (\$15 each).
- **Reserve Inventory:** \$225 for 15 backup batteries to immediately replace any lost or degraded units.
- **Pre-Launch Marketing:** \$450 allocated for custom kiosk vinyl wraps, floor decals, and printed promotional materials.
- **Legal & Administrative:** \$150 for City of Rock Island business registration and basic sole-proprietorship filing fees.
- **Insurance Pre-Pay:** \$200 to cover the first quarter of our General Commercial Liability insurance premium.
- **Total Direct Startup Costs:** \$3,335.

Reserve for Contingencies: Startups inherently face unforeseen challenges. Following standard accounting best practices, we have allocated the remaining balance of the competition award—**\$1,165** (roughly 25% of our total funding)—as our Reserve for Contingencies. This cash cushion ensures we can easily absorb unexpected shipping tariffs on the hardware or immediately purchase a replacement kiosk if one is damaged, without risking the financial health of the business.

2. Opening Day Balance Sheet Our Opening Day Balance Sheet reflects a highly solvent, zero-debt startup.

- **Assets:** On opening day, our assets will total exactly \$4,500. This is composed of our Fixed Assets (the three kiosks valued at \$1,950), our Current Assets/Inventory (the active and backup batteries valued at \$585), and our Cash on Hand (our \$1,165 contingency reserve plus the remaining \$750 from unspent marketing/insurance budgets).
- **Liabilities:** Because ChargeNet is funded via the competition grant, our opening day liabilities are **\$0**. We have no accounts payable, no short-term debt, and no long-term loans.
- **Owner's Equity:** Owner's Equity equals the total value of the assets (\$4,500).

3. Personal Financial Statement Because ChargeNet is seeking capitalization solely through the Augustana Business Plan Competition grant, no external commercial loans or lines of credit are being requested at this time. Therefore, the Founder's personal assets are not being leveraged as collateral. ChargeNet is deliberately designed to be a low-risk, high-reward venture that

insulates the Founder from personal financial ruin while generating immediate cash flow to fund its own future growth.

Organization Chart

(You can paste this simple text-based chart into the blank space in your template, or create a visual box chart in Word using these roles).

- **Sushmita Adhikari** – Founder & CEO (Owner-Operator)
 - *Oversees: Daily Operations, B2B Networking, Marketing, and Financials.*
 - **Strategic Partner:** White-Label SaaS Provider
 - *Oversees: App Uptime, Server Maintenance, Payment Gateway (Stripe).*
 - **Advisory Board:** Augustana EDGE Center, Local CPA, Commercial Attorney.
 - *(Future Phase 2 Hire)* **Independent Contractors (1099)**
 - *Oversees: Weekly physical battery rebalancing routes.*